The government had conceived the idea of an MSME Fund in the year 2017–18. A token provision of Rs 0.01 crore was made for the same. Next year, it provided Rs 100 crore in Budget 2018–19 under the head ‘MSME Fund’. No fund was however utilized. Again, in 2019–20, a provision was kept for Rs 100 crore. This was reduced to Rs 0.01 crore in revised estimates. Provision for the year 2020–21 was also reduced to Rs 50 crore. Three years have gone by since the idea of the MSME Fund emerged, yet not a single rupee has been used. In fact, the budgetary documents do not even describe the purpose or structure of this provision, which is usually stated for every line item in the Ministry’s Expenditure Budget.

In 2020–21, a Fund of Funds was proposed and a provision of Rs 200 crore made. As part of the Atmanirbhar Bharat stimulus package announced by the Finance Minister in May 2020, the Government of India’s contribution to the Fund of Funds was raised fifty times from Rs 200 crore to Rs 10,000 crore. However, this appeared to be more in the nature of building castles in the air rather than anything concrete. The FoF has not seen the light of day.

There is a specific class of funds called SME funds approved by the SEBI as part of the alternative investment channel. SME funds are placed in Category I of AIFs. A Fund of Funds for MSMEs would invest in the SME funds promoted by private equity firms.

According to information from SEBI, SME funds acquired total commitments of Rs 542 crore at the end of December 2019. The actual funds raised were only Rs 121 crore and the actual funds invested amounted to Rs 63 crore cumulatively.

As investing in MSMEs through a Fund of Funds would not require the government to set up an AIF and appoint an investment manager, the Fund of Funds announced in the Budget might see better traction. However, it was difficult for the government to invest Rs 200 crore in the financial year 2020–21. The provision for the Fund of Funds was reduced to Rs 100 crore